CHAPTER 5

EMERGING MODES OF BUSINESS

CHAPTER ESSENCE AT A GLANCE:
Examine the digital transformation of enterprise: e-business scope across B2B, B2C, and C2C, online transaction workflows, digital security safeguards, and Business Process Outsourcing.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **E-Business vs E-Commerce Scope:** E-commerce covers commercial buying and selling of goods online; E-business is broader, encompassing online trading, inventory management, supply chains, and customer relationship management.

• **Digital Transaction Taxonomy:** Classified into Business-to-Business (inter-firm supply chains), Business-to-Consumer (retail portals), Consumer-to-Consumer (online auction marketplaces), and Intra-B electronic communications.

• **Online Procurement Workflow:** Sequential stages: Registration on digital platform, browsing catalog and Placing an Order in virtual cart, and Payment Mechanism (COD, net banking, cards, digital wallets).

• **Business Process Outsourcing (BPO):** Contracting non-core business activities (customer care, payroll, IT support) to specialized outside service providers to reduce costs and focus on core competencies.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{E-Business Umbrella} = \text{E-Commerce (Buy/Sell)} + \text{In-house Digital Production} + \text{Supply Chain ERP}$$

E-Business Comprehensive Ecosystem Scope

$$\text{Transaction Taxonomy} = \text{B2B (Enterprise Supply)} + \text{B2C (Retail Portals)} + \text{C2C (Consumer Auctions)}$$

Electronic Commerce Interactivity Spectrum

$$\text{Digital Ordering Pipeline} = \text{Online Registration} \rightarrow \text{Cart Placement} \rightarrow \text{Gateway Payment}$$

Standard E-Commerce Purchasing Cycle

$$\text{BPO Competency Focus} = \text{Core Business Specialization} + \text{Delegated Non-Core Support Services}$$

Business Process Outsourcing Strategic Model

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** E-business is not synonymous with E-commerce; E-commerce is merely the buying and selling component of the wider E-business architecture.

• **Alert:** Lack of personal touch and delayed physical delivery are key limitations of electronic business compared to traditional physical brick-and-mortar stores.

• **Alert:** Cash on Delivery (COD) means cash is paid physically to the courier delivery agent upon receiving the package at the customer premises.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Distinguish between E-Business and E-Commerce. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **E-Commerce:** Covers online commercial transactions of buying and selling goods and services over the Internet. [1 Mark]

• **E-Business:** A wider concept encompassing e-commerce plus digitally conducted operational activities like production planning, inventory control, and customer service. [1 Mark]

2. Explain C2C (Consumer-to-Consumer) e-commerce with one popular real-world example. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Concept:** Digital transactions originating between consumers who trade used or new goods directly using online platform intermediaries. [1 Mark]

• **Example:** Selling second-hand vehicles or electronics on platforms like OLX or eBay. [1 Mark]

3. Explain the three sequential stages involved in executing an online shopping transaction. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Stage 1 (Registration):** Customer creates an online account by registering personal details, address, and login credentials on the e-commerce portal. [1 Mark]

• **Stage 2 (Placing an Order):** Customer selects products from digital catalogs and adds items to the virtual shopping cart. [1 Mark]

• **Stage 3 (Payment Settlement):** Customer chooses a payment gateway mechanism: Cash on Delivery, credit or debit card, net banking, or UPI. [1 Mark]

4. State any three advantages of E-Business over Traditional Business. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Global Reach and Round-the-Clock Access:** Business can operate worldwide around the clock without geographic boundaries or store opening hour limits. [1 Mark]

• **Lower Transaction Costs:** Eliminates middlemen and expensive commercial showroom real estate rent. [1 Mark]

• **Speed of Ordering:** Enables rapid electronic communication, digitized delivery of software or digital media, and instantaneous payment transfers. [1 Mark]

5. What is Business Process Outsourcing (BPO)? Enumerate two principal benefits of outsourcing non-core activities. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Definition:** Contracting out routine non-core business processes (such as customer call centers, billing, IT support) to specialized external agencies. [1 Mark]

• **Focus on Core Competencies:** Frees company executive management to concentrate on strategic product development and marketing. [1 Mark]

• **Cost Reduction:** Capitalizes on the cheaper labor costs and superior economies of scale of specialized vendors. [1 Mark]

6. Explain the major security risks involved in online transactions under the heads: Transaction risks and Data storage risks. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Transaction Risks:** Default on delivery (seller fails to deliver), default on order (buyer denies placing order), and default on payment (customer refuses to pay). [1.5 Marks]

• **Data Storage Risks:** Data theft, credit card cloning, and virus attacks intercepting financial passwords during internet transmission. [1.5 Marks]

7. Compare Traditional Business with E-Business across: Ease of formation, Physical presence, Cost of setup, Operating cost, and Customer contact. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Ease of Formation:** Traditional business requires complex local licensing; E-business is relatively simple to set up online. **[1 Mark]**

• **Physical Presence:** Traditional requires physical retail shop location; E-business requires no retail storefront, operating via websites and warehouses. **[1 Mark]**

• **Cost of Setup and Operation:** Traditional entails high capital setup and high overheads; E-business operates with low initial setup capital and lean operational expenses. **[1 Mark]**

• **Customer Contact:** Traditional provides direct face-to-face interpersonal rapport; E-business is mediated via screens with indirect customer contact. **[1 Mark]**